

CEO Ajai Chowdhry says, "Lower prices will mean greater PC penetration, because the middle class would be able to afford PCs in bigger numbers."

Do these cuts mean that we will finally see the dream sub-Rs 15,000 PC? Saraf says Zenith may bring down the price of its entry-level PC to Rs 16,000, from the present Rs 18,000. This decision may be helped because the interim confusion whether the duty-cuts are only on finished products, or components such as micro-processors, storage devices, or even CD-ROM drives, has been cleared—they will apply to both components, as well as finished products. Even then, duties on monitors and motherboards have been excluded from Singh's box of goodies.

Some feel that it will take around four to five weeks before prices settle down across the board. Says Rajendra Kumar, Vice President, Frontline division, HCL Infosystems, "It might take a while before every player announces a price-cut, because one will have to study the implications in detail. However, I am sure that people will get more value for money, as high-end products will probably be available at the same price. And since there will be greater competition between branded manufacturers and assemblers, the grey market might take a beating in the long run."

Says Rohit Jain, Business Manager, IBM Global Services: "PC buyers are extremely price sensitive. A commercial desktop may now be available at below Rs 40,000 from the earlier Rs 45,000 to Rs 50,000."

Cheaper mobile phones, too

And now for the biggest present of them all: Customs duty on cellphones has been halved to five per cent. This means that the price differential between the white and grey market will be minimal, finally giving manufacturers the boost they needed to push products in India. Consumers now get more than a cellphone at a lower price—they get a warranty and service too.

Nokia and Sony Ericsson India have already announced price-cuts—an entry level Nokia 3315 will now cost Rs 3,710 in New Delhi, and slightly higher (Rs 3,999)

in Mumbai, due to the difference in sales tax. The cuts are higher for high-end models. Together with West Bengal, Uttar Pradesh, Haryana and Rajasthan, New Delhi will be among the cities that will have the cheapest cellphones. Industry sources say that this move makes mobile



Vinnie Mehta
Executive Director,
Manufacturers Association of Information
Technology (MAIT)

The industry believes that there will be a rise of 35 to 40 per cent in sales, up from the 30 per cent they expected before the duty cuts

phones in India cheaper than many Asian countries, including Singapore.

HCL's Chowdhry, whose company also distributes Nokia's products in India, feels that the price-cuts will help increase cellphone penetration in the country. "Already cellphones are outselling landlines. This rate will go up."

Sony Ericsson India General Manager, Sudhin Mathur, feels that this cut will boost official sales, and prices of handsets will easily come down by five to 10 per cent soon.

Affordable laptops? Thanks to Singh, laptops will easily cost eight to 10 per cent less. Effectively, instead of buying a laptop in India, you can ask a friend or a relative returning from a trip abroad, to carry it for you, at a lesser price. Manoj Khanna, spokesperson for Computer Media Dealers Association (CMDA), says, "Relaxation on baggage rules will make laptops more affordable. Overseas, every student has a laptop, which he or she takes to the classroom. With the new rules, the same concept will be ushered into India, sooner or later."

There is a rider, though. One of the biggest issues with laptops is servicing. Samsung has officially stated that it will not service products bought abroad in India, unless they have a global warranty, which basically brings the consumer back to square one. Rajendra Kumar of HCL, however, feels that this will actually help the local laptop market to grow at a much higher rate of 15 per cent, compared with the current rate of four to five per cent.

But Amar Babu, Intel's Director for South Asia sales, says, "In India, corporates are major buyers of laptops, not individuals. So, this decision to relax baggage rules will not create a big impact. Laptops are just not price-sensitive, and service actually plays a bigger role." Zenith's Saraf agrees: "Most vendors will not give warranty on these laptops. So the user has not much to gain."

Budget Buzz



The release of the mini-budget has everyone in IT shouting out opinions. Even the Digsters on the Digit Forum (<http://www.thinkdigit.com/forum>) had opinions to share. A look at a few opinions voiced on the forum:

There have been more duty cuts on almost all PC components! The duty on microprocessors has come down from 16 per cent, to zero per cent. The same applies to CD-ROMs, floppy drives and hard disks. This means, the rate of a microprocessor will fall to Rs 1,500 and Rs 2,000 per chip, but the duty on motherboards has not been cut. Thus, for about Rs 40,000, we will save around Rs 5,000. THIS IS THE PERFECT TIME TO BUY PCs!!!

sunmysore, In-House Geek, Location: Mysore, Karnataka

Hey what about GPU cards?

techno_funky, In-House Geek

Something like a price cut of about Rs 25,000 on 9800 Pros (realistically about 5,000), would be welcome!

TheMask, Digitized!, Location: Mysore, Karnataka.

It seems motherboards haven't been touched by these cuts.

svenkat83, In-House Geek, Location: Chennai

The only thing that would make things clear is holding off your purchase for a couple of weeks...

TheMask, Digitized!, Location: Mysore, Karnataka.